

Table 1. The Decalogue of Washington Consensus Policies (1989)

1. Fiscal Discipline	Budget deficits—properly measured to include local governments, state enterprises, and the central bank—should be small enough to be financed without recourse to the inflation tax.
2. Public Expenditure Re-Prioritization	Public spending should move away from politically popular but economically unwarranted projects (bloated bureaucracies, indiscriminate subsidies, white elephants) and towards neglected fields with high economic returns and the potential to improve income distribution (primary health and education, infrastructure).
3. Tax Reform	To improve incentives and horizontal equity, the tax base should be broad and marginal tax rates moderate. Taxing interest on assets held abroad ("flight capital") should become a priority in the medium term.
4. Positive Real Interest Rates	Ultimately, interest rates should be market determined. As this could be destabilizing in an environment of weak confidence, policy should have more modest objectives for the transition, mainly to abolish preferential interest rates for privileged borrowers and achieve a moderately positive real interest rate.
5. Competitive Exchange Rates	Countries need a unified (at least for trade transactions) exchange rate set at a level sufficiently competitive to induce a rapid growth in non-traditional exports, and managed so as to assure exporters that this competitiveness will be maintained in the future.
6. Trade Liberalization	Quantitative trade restrictions should be replaced by tariffs, and these should be progressively reduced until a uniform low tariff in the range of 10 percent is achieved.
7. Foreign Direct Investment	Barriers impeding foreign direct investment and the entry of foreign firms should be abolished; foreign and domestic firms should be allowed to compete on equal terms.
8. Privatization	State enterprises should be privatized.
9. Deregulation	Governments should abolish regulations that impede the entry of new firms or restrict competition, and ensure that all regulations are justified by such criteria as safety, environmental protection, or prudential supervision of financial institutions.
10. Property Rights	The legal system should provide secure property rights without excessive costs, and make these available to the informal sector.